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Yield Drifts When Issuance Comes Before Macro News

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1 Big picture

- **Question.** How do government bond issuance and scheduled macroeconomic announcements interact to move long-term yields before the announcement occurs?
- **Main fact.** UK gilt yields drift upward before MPC announcements and labour-market data releases.
- **Role of issuance.** The drift is stronger when the pre-news window follows primary issuance of government bonds.
- **Mechanism.** Dealers face limited risk-bearing capacity and must distribute issuance inventory before a high-information-risk event.
- **Term-premium result.** The drift is mostly term premium, not expected short-rate changes.
- **Micro evidence.** Dealers with inventory imbalances sell more, hedge funds step back, and passive clients provide more liquidity in pre-news windows.

2 Data and measurement

2.1 Primary issuance and pre-news windows

Pre-news windows are the one- and two-day windows before scheduled MPC announcements or labour-market data releases. The paper tracks whether these windows coincide with gilt issuance.

Detailed interpretation: The key timing variation combines inventory pressure from issuance with information risk before macro news.

2.2 Yield data and term-premium decomposition

The baseline outcomes are daily changes in 5-, 10-, 15-, and 20-year UK zero-coupon gilt yields. The 10-year yield is decomposed into expectations and term-premium components using an affine term-structure model.

Detailed interpretation: This distinguishes expectation updating from risk-premium and liquidity channels.

2.3 Transaction-level data

FCA ZEN and MiFID II data identify dealer-client trades, quantities, prices, client types, and dealer identities. These data are used to study inventory imbalance and liquidity provision.

Detailed interpretation: The transaction data connect aggregate yield drift to dealer and client behavior.

3 Models and empirical specifications

3.1 Baseline drift regression

$$\Delta_{t-1,t}r_t^k = \beta_0 + \beta_1 D_t^{News} + \varepsilon_t.$$

Detailed interpretation: β_1 measures the average pre-news yield drift.

3.2 Issuance interaction

$$\Delta_{t-1,t}r_t^k = \beta_0 + \beta_1 D_t^{News,ISS} + \beta_2 D_t^{News,noISS} + \beta_3 D_t^{noNews,ISS} + \varepsilon_t.$$

Detailed interpretation: β_1 isolates issuance just before macro news.

3.3 Dealer and client mechanism

The paper splits the sample by inter-dealer price dispersion, studies dealer inventory imbalance, and compares client order flow across pre-news and non-pre-news issuance windows.

Detailed interpretation: The mechanism requires constrained dealers and a change in liquidity-provider composition.

4 Identification and empirical design

Scheduled announcements define exogenous-looking information-risk windows. Issuance creates inventory pressure. Comparing pre-news windows with and without issuance separates announcement timing from bond supply. Weekday controls, inflation-release checks, no-news issuance days, term-premium decomposition, price-dispersion splits, and transaction-level evidence strengthen the mechanism.

5 Tables and figures

5.1 Fig. 1: Primary Issuance and Macroeconomic Announcements: 1999–2020 + Table 1: Summary Statistics

Read: Fig. 1 shows rising issuance frequency and rising co-occurrence with macro-news windows. Table 1 summarizes issuance and yield-change data.

Detailed interpretation: Issuance-before-news becomes increasingly common and economically important.

Economic message: Bond supply and macro information risk increasingly interact.

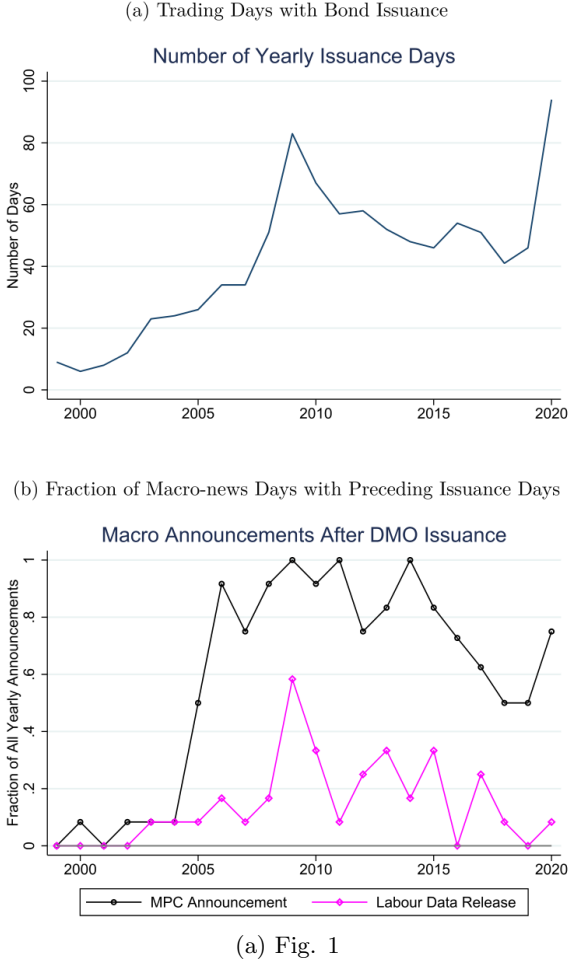


Table 1
Summary statistics.

(a) Primary issuances						
Time period	(1) Mean	(2) Std. Dev.	(3) 25th	(4) 50th	(5) 75th	(6) N
Panel A.1: Amount (£) Issued (in millions)						
1997m5–2021m7	2385.26	1389.28	1200.00	2474.60	3250.00	1075
1997m5–2007m12	1566.80	1031.70	450.00	2000.00	2500.00	211
2008m1–2021m7	2585.13	1392.56	1392.30	2500.00	3500.00	864
Panel A.2: Years to Maturity						
1997m5–2021m7	19.27	13.41	8.53	15.55	29.89	1075
1997m5–2007m12	20.59	12.54	10.52	19.90	30.52	211
2008m1–2021m7	18.94	13.60	7.61	14.24	29.80	864
(b) Daily changes in nominal bond yields						
Maturity	(1) Mean	(2) Std. Dev.	(3) 25th	(4) 50th	(5) 75th	(6) N
5 years	−0.111	4.637	−2.854	−0.151	2.520	6128
10 years	−0.109	4.842	−3.041	−0.135	2.68	6128
15 years	−0.108	4.611	−2.898	−0.165	2.572	6128
20 years	−0.107	4.490	−2.713	−0.106	2.439	6128

Note: Panel A reports summary statistics of UK government bond issuances. The statistics are computed for the whole sample (1997m5–2021m7) as well as for two subperiods. Panel B reports summary statistics of daily nominal yield changes (expressed in basis points) for four different maturities, using the whole sample.

issuances. A significant fraction of monetary policy announcements and labour market data releases occur 1–2 days after bond issuance. Specifically, 296 out of 540 pre-news days before monetary policy announcements and 78 out of 560 pre-news days before labour market data releases occur within bond issuance windows.

(b) Table 1

5.2 Table 2: Yield Changes in Pre-News Windows + Table 3: Yield Changes in Pre-News Windows with Weekday Fixed Effects

Read: Yields rise before MPC and labour-market announcements, and the effect survives weekday controls.

Detailed interpretation: The drift is not merely a weekday pattern.

Economic message: There is systematic yield movement before scheduled news.

Table 2

Yield changes in pre-news windows.

	5Y-yield (1)	10Y-yield (2)	15Y-yield (3)	20Y-yield (4)
(A) Yield changes before MPC meetings				
Pre-news window	0.28 (1.42)	0.45** (2.20)	0.50** (2.51)	0.51*** (2.58)
Constant	-0.14** (-2.18)	-0.15** (-2.30)	-0.15** (-2.46)	-0.15** (-2.52)
N	6128	6128	6128	6128
(B) Yield changes before labour market data release				
Pre-news window	0.50** (2.46)	0.48** (2.35)	0.43** (2.23)	0.39** (2.06)
Constant	-0.15** (-2.31)	-0.13** (-1.99)	-0.12* (-1.94)	-0.12* (-1.90)
N	5896	5896	5896	5896

Note: Panel A (B) of this table regresses daily changes in 5-year, 10-year, 15-year and 20-year nominal gilt yields on an indicator variable that takes value one for days that are either one or two days before scheduled monetary policy announcements (labour market data releases) and zero otherwise. The estimation period in Panel A covers 1997m5–2021m7 and includes 270 MPC announcement windows. The estimation period in Panel B covers 1998m4–2021m7 and includes 280 pre-news windows corresponding to scheduled labour market data releases. T-statistics in parentheses are based on robust standard errors. Asterisks denote significance levels (* $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$).

(a) Table 2

Table 3

Yield changes in pre-news windows.

	5Y-yield (1)	10Y-yield (2)	15Y-yield (3)	20Y-yield (4)
(A) Yield changes before MPC meetings				
Pre-news window	0.09 (0.43)	0.34 (1.51)	0.38* (1.77)	0.37* (1.77)
Monday	-0.29** (-2.29)	-0.29** (-2.32)	-0.24** (-2.04)	-0.20* (-1.73)
Tuesday (relative to Monday)	0.36** (1.98)	0.21 (1.10)	0.15 (0.83)	0.12 (0.67)
Wednesday (relative to Monday)	0.34* (1.75)	0.33* (1.68)	0.29 (1.56)	0.27 (1.49)
Thursday (relative to Monday)	0.18 (0.97)	0.28 (1.46)	0.21 (1.18)	0.14 (0.80)
Friday (relative to Monday)	-0.06 (-0.31)	-0.07 (-0.35)	-0.15 (-0.80)	-0.22 (-1.19)
N	6128	6128	6128	6128
(B) Yield changes before labour market data release				
Pre-news window	0.60*** (2.79)	0.63*** (2.93)	0.55*** (2.67)	0.48** (2.33)
Monday	-0.45*** (-3.35)	-0.46*** (-3.35)	-0.39*** (-2.94)	-0.33** (-2.51)
Tuesday (relative to Monday)	0.46** (2.56)	0.37** (2.03)	0.33* (1.89)	0.30* (1.77)
Wednesday (relative to Monday)	0.49*** (2.59)	0.56*** (2.86)	0.52*** (2.77)	0.48*** (2.64)
Thursday (relative to Monday)	0.38* (1.93)	0.48** (2.37)	0.38** (1.98)	0.28 (1.51)
Friday (relative to Monday)	0.13 (0.69)	0.13 (0.65)	0.02 (0.08)	-0.08 (-0.43)
N	5896	5896	5896	5896

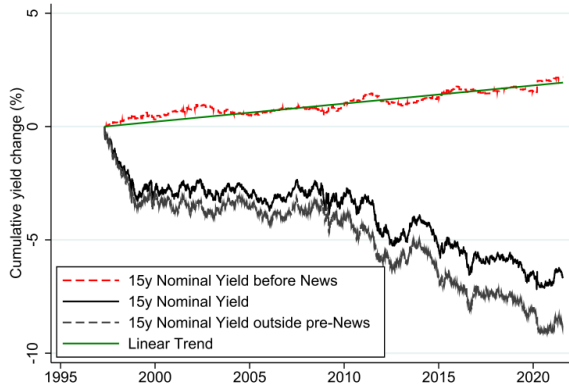
(b) Table 3

5.3 Fig. 2: A Decomposition of Long-Term Gilt Yields: Pre-MPC Yield Drift + Fig. 3: A Decomposition of Long-Term Gilt Yields: Pre-Labour Market Data Release Drift

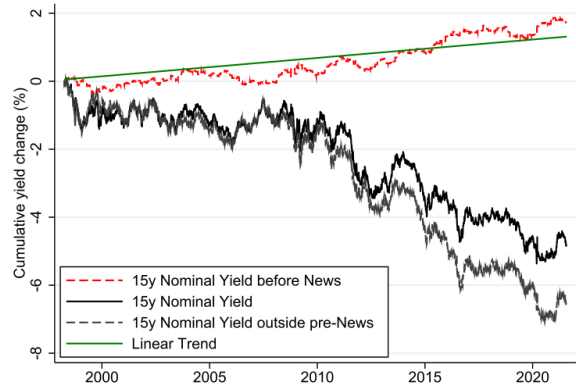
Read: The cumulative pre-news components trend upward for both MPC and labour-market events.

Detailed interpretation: Small daily drifts accumulate into economically meaningful yield movements.

Economic message: Pre-news drift is a repeated event-window phenomenon.



(a) Fig. 2



(b) Fig. 3

5.4 Table 4: Yield Changes in Pre-News Windows: The Role of Bond Issuance

Read: Yield increases are much larger when pre-news windows coincide with issuance.

Detailed interpretation: The interaction of issuance and information risk is the central reduced-form result.

Economic message: Inventory pressure and macro-news risk amplify each other.

Table 4
Yield changes in pre-news windows: the role of bond issuance.

	5Y	10Y	15Y	20Y	5Y	10Y	15Y	20Y
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
(A) Before MPC meetings					(B) Before labour market data release			
Pre-news window # issuance	0.20 (0.73)	0.54* (1.91)	0.65** (2.39)	0.68** (2.53)	1.06** (1.96)	1.17** (2.26)	1.09** (2.30)	1.12** (2.45)
Pre-news window # no issuance	0.46 (1.63)	0.41 (1.44)	0.37 (1.36)	0.36 (1.29)	0.46** (2.07)	0.42* (1.90)	0.38* (1.83)	0.33 (1.61)
No pre-news # issuance	0.23 (1.32)	0.20 (1.10)	0.19 (1.07)	0.17 (1.01)	0.21 (1.28)	0.25 (1.39)	0.28 (1.64)	0.28* (1.72)
Constant	-0.17** (-2.50)	-0.18** (-2.55)	-0.18** (-2.69)	-0.18** (-2.72)	-0.18** (-2.61)	-0.18** (-2.40)	-0.17** (-2.47)	-0.17** (-2.47)
N	6128	6128	6128	6128	5896	5896	5896	5896
(C) Before MPC meetings					(D) Before labour market data release			
Pre-news window # issuance	-0.02 (-0.05)	0.41 (1.35)	0.52* (1.79)	0.53* (1.86)	1.09** (2.00)	1.22** (2.42)	1.15** (2.39)	1.14** (2.46)
Pre-news window # no issuance	0.27 (0.90)	0.29 (0.97)	0.25 (0.87)	0.22 (0.76)	0.53** (2.32)	0.55** (2.39)	0.48** (2.17)	0.40* (1.81)
No pre-news # issuance	0.09 (0.47)	0.08 (0.38)	0.07 (0.37)	0.06 (0.31)	0.06 (0.35)	0.11 (0.60)	0.15 (0.81)	0.15 (0.84)
Weekday FE	YES	YES	YES	YES	YES	YES	YES	YES
N	6128	6128	6128	6128	5896	5896	5896	5896

Note: this table regresses daily changes in 5-year, 10-year, 15-year and 20-year nominal gilt yields on an indicator variable on indicator variables capturing (i) pre-news windows with new bond issuance, (ii) pre-news windows without new bond issuance and (iii) all trading days with issuance and without announcements. The estimation period in Panel A and C covers 1997m5–2021m7 and includes 270 MPC announcement windows. The estimation period in Panel B and D covers 1998m4–2021m7 and includes 280 pre-news windows corresponding to scheduled labour market data releases. T-statistics in parentheses are based on robust standard errors. Asterisks denote significance levels (* $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$).

Table 5
10Y yield changes before MPC meetings: Term premium vs. expectations.

	Yield (1)	Fitted yield (2)	Term pr. (3)	Expect. (4)
(A) 10Y yield changes before MPC meetings				
Pre-news window	0.33 (1.45)	0.32 (1.42)	0.42*** (2.77)	-0.10 (-0.70)
Weekday fixed effects	YES	YES	YES	YES
N	5983	5983	5983	5983
(B) 10Y yield changes before labour market data release				
Pre-news window	0.66*** (3.01)	0.67*** (3.03)	0.31** (2.21)	0.35** (2.38)
Weekday fixed effects	YES	YES	YES	YES
N	5750	5750	5750	5750
(B) 10Y yield changes before MPC meetings and during bond issuance				
Pre-news window # issuance	0.40 (1.31)	0.40 (1.29)	0.67*** (3.21)	-0.27 (-1.42)
Pre-news window # no issuance	0.31 (1.02)	0.31 (1.01)	0.17 (0.81)	0.14 (0.68)
No news # issuance	0.14 (0.70)	0.14 (0.69)	0.05 (0.34)	0.09 (0.70)
Weekday fixed effects	YES	YES	YES	YES
N	5983	5983	5983	5983
(C) 10Y yield changes before labour market data release and during bond issuance				
Pre-news window # issuance	1.34** (2.50)	1.35** (2.50)	0.76* (1.70)	0.58 (1.35)
Pre-news window # no issuance	0.59** (2.48)	0.59** (2.50)	0.27* (1.86)	0.32** (2.07)
No news # issuance	0.16 (0.82)	0.16 (0.81)	0.14 (0.99)	0.02 (0.17)
Weekday fixed effects	YES	YES	YES	YES
N	5750	5750	5750	5750

Note: this table regresses daily changes in the 10-year nominal gilt yield and fitted yields, term premia and expectation components from a dynamic no-arbitrage affine term structure model, estimated by linear regression techniques (Adrian et al., 2013; Malik and Meldrum, 2016) on a sample covering 1991m1–2020m12. The regressor in Panel A (B) is an indicator variable that takes value one for days that are either one or two days before scheduled monetary policy announcements (labour market data releases) and zero otherwise. The regressors in Panels C-D are indicator variables capturing (i) pre-news windows with new bond issuance, (ii) pre-news windows without new bond issuance and (iii) all trading days with issuance and without announcements. The estimation period in Panel A (B) covers 1997m5–2020m12 (1998m4–2020m12). All regressions include a weekday fixed effect. T-statistics in parentheses are based on robust standard errors. Asterisks denote significance levels (* $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$).

literature, we measure inter-dealer price dispersion, D_{ID} , is as follows:

$$\sqrt{\frac{1}{N} \sum_{i=1}^N (p_i - \bar{p})^2}$$

5.5 Table 5: 10Y Yield Changes Before MPC Meetings: Term Premium vs. Expectations

Read: The pre-news drift is mainly a term-premium movement, especially when issuance occurs.

Detailed interpretation: This supports a liquidity/risk-bearing mechanism rather than pure expectation updating.

Economic message: Investors require compensation for holding duration risk before news.

5.6 Table 6 and Table 7: High vs. Low Price Dispersion

Read: Issuance-pre-news drift is larger in high price-dispersion periods.

Detailed interpretation: Price dispersion proxies for dealer constraints and illiquidity.

Economic message: Dealer constraints amplify pre-news issuance effects.

Table 6

Pre-news drift and bond issuance: High vs. low price dispersion months.

	5Y (1)	10Y (2)	15Y (3)	20Y (4)	5Y (5)	10Y (6)	15Y (7)	20Y (8)
(A) Pre-MPC drift & lower dispersion					(B) Pre-MPC drift & higher dispersion			
Pre-news # issue	0.10 (0.20)	0.11 (0.19)	0.10 (0.18)	0.15 (0.30)	1.30** (2.30)	1.45* (1.92)	1.42* (1.82)	1.34* (1.73)
Pre-news # no issue	0.01 (0.02)	0.04 (0.05)	0.11 (0.15)	0.28 (0.38)	-0.31 (-0.35)	-0.52 (-0.49)	-0.60 (-0.55)	-0.92 (-0.84)
No news # issue	-0.16 (-0.52)	-0.35 (-0.98)	-0.35 (-1.02)	-0.31 (-0.95)	-0.34 (-1.02)	-0.38 (-0.99)	-0.37 (-0.73)	-0.17 (-0.47)
Constant	-0.07 (-0.53)	-0.09 (-0.64)	-0.09 (-0.69)	-0.09 (-0.74)	-0.07 (-0.45)	-0.11 (-0.58)	-0.16 (-0.91)	-0.19 (-1.13)
N	1144	1144	1144	1144	1110	1110	1110	1110
(C) Pre-MPC drift & lower dispersion					(D) Pre-MPC drift & higher dispersion			
Pre-news # issue	-0.34 (-0.65)	-0.29 (-0.48)	-0.29 (-0.51)	-0.24 (-0.43)	1.12* (1.87)	1.33* (1.67)	1.29 (1.57)	1.19 (1.45)
Pre-news # no issue	-0.42 (-0.55)	-0.36 (-0.42)	-0.28 (-0.37)	-0.11 (-0.14)	-0.50 (-0.56)	-0.66 (-0.61)	-0.75 (-0.68)	-1.07 (-0.96)
No news # issue	-0.36 (-1.06)	-0.59 (-1.49)	-0.60 (-1.58)	-0.55 (-1.55)	-0.60 (-1.58)	-0.57 (-1.27)	-0.45 (-1.05)	-0.36 (-0.86)
Weekday FE	YES	YES	YES	YES	YES	YES	YES	YES
N	1145	1145	1145	1145	1110	1110	1110	1110

Note: This table regresses daily changes in yields on indicator variables capturing (i) pre-news windows (associated with monetary policy announcements) and new bond issuance, (ii) pre-news windows without new bond issuance and (iii) all trading days with issuance and without announcements. Panel A (Panel B) presents the results without weekday fixed effects using the subsample when the market has lower (higher) inter-dealer price dispersion (Eisfeldt et al., 2023). Panels C-D present the results with weekday fixed effects. The classification of months with lower and higher inter-dealer price dispersion is based on the median value in the given year. The estimation period covers 2011m9-2021m7, which is dictated by the availability of the transaction-level data. T-statistics in parentheses are based on robust standard errors. Asterisks denote significance levels (* $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$).

(a) Table 6

Table 7

Pre-news drift and bond issuance: High vs. low price dispersion.

	5Y (1)	10Y (2)	15Y (3)	20Y (4)	5Y (5)	10Y (6)	15Y (7)	20Y (8)
(A) Pre-labour drift & lower dispersion					(B) Pre-labour drift & higher dispersion			
Pre-news # issue	0.33 (0.49)	0.54 (0.68)	0.76 (0.95)	0.87 (1.08)	2.04*** (2.65)	1.93** (2.13)	1.58* (1.84)	1.40* (1.70)
Pre-news # no issue	0.41 (1.08)	0.49 (1.15)	0.56 (1.39)	0.56 (1.52)	0.43 (0.86)	0.57 (0.98)	0.52 (0.88)	0.45 (0.74)
No news # issue	-0.26 (-0.88)	-0.46 (-1.34)	-0.46 (-1.38)	-0.40 (-1.25)	-0.32 (-1.01)	-0.30 (-0.79)	-0.17 (-0.48)	-0.08 (-0.22)
Constant	-0.08 (-0.60)	-0.11 (-0.71)	-0.12 (-0.82)	-0.12 (-0.89)	-0.07 (-0.43)	-0.12 (-0.63)	-0.17 (-0.92)	-0.21 (-1.16)
N	1144	1144	1144	1144	1110	1110	1110	1110
(C) Pre-Labour drift & lower dispersion					(D) Pre-labour drift & higher dispersion			
Pre-news # issue	0.19 (0.27)	0.42 (0.51)	0.65 (0.79)	0.78 (0.93)	2.26*** (2.85)	2.30** (2.45)	1.89** (2.12)	1.65* (1.94)
Pre-news # no issue	0.42 (1.06)	0.54 (1.21)	0.61 (1.45)	0.62 (1.60)	0.71 (1.35)	0.98 (1.60)	0.88 (1.42)	0.75 (1.18)
No news # issue	-0.44 (-1.37)	-0.68* (-1.80)	-0.68* (-1.88)	-0.61* (-1.77)	-0.59 (-1.64)	-0.48 (-1.12)	-0.35 (-0.85)	-0.25 (-0.64)
Weekday FE	YES	YES	YES	YES	YES	YES	YES	YES
N	1145	1145	1145	1145	1110	1110	1110	1110

Note: This table regresses daily changes in yields on indicator variables capturing (i) pre-news windows (associated with labour market data releases) and new bond issuance, (ii) pre-news windows without new bond issuance and (iii) all trading days with issuance and without announcements. Panel A (Panel B) presents the results without weekday fixed effects using the subsample when the market has lower (higher) inter-dealer price dispersion (Eisfeldt et al., 2023). Panels C-D present the results with weekday fixed effects. The classification of months with lower and higher inter-dealer price dispersion is based on the median value in the given year. The estimation period covers 2011m9-2021m7, which is dictated by the availability of the transaction-level data. T-statistics in parentheses are based on robust standard errors. Asterisks denote significance levels (* $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$).

position of liquidity providers

understand the dynamics of bond prices during the pre- t , we also study how different types of clients trade after

trading days. We consider the following six types of trading days: issuance days that are two days before macroeconomic announcements; days that are one day after issuance days and one day before announcements; issuance days that are one day before announcements; issuance days without impending news; days after issuance days without

(b) Table 7

5.7 Table 8: Evidence from Dealers' Inventory Imbalance

Read: Dealers with larger pre-issuance imbalances sell more after issuance during pre-news windows.

Detailed interpretation: This links aggregate yield drift to dealer-level inventory pressure.

Economic message: Dealer balance-sheet pressure is visible in micro trading behavior.

	Before news		No news
	MPC (1)	Labour (2)	(3)
(A) All dealers			
DealerFlow	-0.011* (-1.89)	-0.021** (-2.09)	-0.004 (-1.46)
N	928	228	4467
R^2	0.128	0.112	0.104
(B) Dealers participating in the auction			
DealerFlow	-0.017** (-2.49)	-0.034*** (-3.72)	-0.006 (-1.54)
N	386	80	1746
R^2	0.219	0.270	0.195
(C) Dealers not participating in the auction			
DealerFlow	-0.003 (-0.32)	0.015 (0.72)	-0.003 (-0.96)
N	538	139	2709
R^2	0.166	0.167	0.114

Note: This table presents the estimation results corresponding to regression (4.2). Columns (1)-(2) show, respectively, the estimates for pre-MPC windows and pre-news windows associated with labour market data releases. Column (3) shows the results for periods without impending news. T-statistics in parentheses are based on robust standard errors. Asterisks denote significance levels (* $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$).

data releases, respectively. Inspecting Panel A reveals that clients tend to buy more gilts from dealers during monetary policy announcement pre-news windows and on issuance days (by around £538 million) or on the day after the issue (by around £175 million) compared with all other days. This increase in gilt purchases is more muted on issuance days or days after issuance without impending monetary policy announcements. Moreover, the majority of the increased liquidity provision outside pre-news windows is done by hedge funds (around £340 million) and asset managers (£190 million). In contrast, liquidity provision during pre-news windows is done predominantly by other

Figure 5: Table 8

5.8 Table 9: Composition of Orderflow + Table 10: Average Hedge Fund Returns

Read: Hedge funds provide less liquidity in pre-news windows, while passive clients provide more. Hedge funds show forecasting ability around announcements.

Detailed interpretation: Soon-to-be-informed traders reduce liquidity provision before information events.

Economic message: Liquidity provision shifts from informed/speculative capital to passive capital before news.

	(1) All clients	(2) Comm. banks	(3) Pensionfunds	(4) Fin. central banks	(5) Others	(6) Hedge funds	(7) Asset Mng.
Panel A: Monetary policy announcements							
On issuance day # 2 days before news	-10.00	24.41	-6.86	52.46	23.58	-73.53	-30.06
After issuance day # day before news	175.54	-33.61	5.81	147.20**	28.12	-16.00	44.01
On issuance day # day before news	538.35**	56.88	132.75	66.92	112.20**	63.36	106.29
After issuance day # not before news	126.55**	5.30	4.71	-2.46	-4.08	76.76**	46.33**
On issuance day # not before news	504.92**	17.20	71.50**	11.25	-2.51	263.82***	145.06***
Other days	84.55***	-7.99**	36.15***	68.30***	7.56***	-52.77***	33.30***
Panel B: Scheduled labour market data releases							
On issuance day # 2 days before news	-	-	-	-	-	-	-
After issuance day # day before news	-	-	-	-	-	-	-
On issuance day # day before news	686.79***	25.67	259.76**	8.36	-35.43**	249.27***	179.16**
After issuance day # not before news	123.02**	2.71	2.47	14.39	1.31	51.58**	50.97**
On issuance day # not before news	491.11***	21.74**	59.78***	20.19	6.92	244.77***	137.71***
Other days	86.57***	-8.37**	36.51***	68.85***	7.41***	-50.68***	32.85***
N	2105	2105	2105	2105	2105	2105	2105

Note: the table presents the estimated mean orderflows (net purchases) of all clients (1) and different client sectors (2-7). The sample, covering the period from Aug 2011 to December 2015, includes 2105 trading days. We consider the following six types of trading days: issuance days that are two days before macroeconomic announcements; days that are one day after issuance days and one day before announcements; issuance days that are one day before announcements; issuance days without impending news; days after issuance days without impending news; and all other trading days. Panel A (B) shows the results for monetary policy announcements (labour market data releases). Asterisks denote significance levels (* $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$).

(a) Table 9

	Unweighted performance			Volume-weighted performance		
	$T = 1d$ (1)	$T = 3d$ (2)	$T = 6d$ (3)	$T = 1d$ (4)	$T = 3d$ (5)	$T = 6d$ (6)
Panel A: Monetary Policy announcements						
$t = 2$	2.43	-1.96	-4.97	2.80**	-0.44	-0.66
$t = 1$	-1.16	0.63	-0.31	-0.97	-1.12	1.24
t [news]	2.93*	7.68***	13.22***	2.15*	1.30	4.99*
Panel B: Scheduled labour market data releases						
$t = 2$	-	-	-	-	-	-
$t = 1$	-0.29	0.66	-2.03	-1.37	-2.99	-3.80
t [news]	3.60***	4.57	7.78*	1.49	1.59	5.62**
N	2105	2105	2105	2105	2105	2105

Note: the table presents average performance (measured in basis points) of hedge fund trades over 1, 3- and 6-day horizons (based on the measure (4.3)) in pre-MPC windows that coincide with primary issuance. The rows capture the days on which the trades are executed (i denotes day of MPC meeting, $i = 1$ denotes the day before MPC meeting and $i = 2$ denotes the days that are two days before MPC meeting). The columns capture the horizon (T) over which the performance measure is computed. Columns 1-3 present unweighted average performance measures for the hedge funds sector and columns 4-6 present average measures that are weighted by pound values of the transactions. Panel A (B) shows the results for monetary policy announcements (labour market data releases). The asterisks indicate whether the returns are different from zero at 1%, 5% and 10% significance levels.

are three types of rational agents: a unit-mass continuum of dealers (D), a unit-mass continuum of uninformed clients (U), and $N > 2$ atomic hedge funds (H). Each dealer and uninformed client are of zero measure, while each hedge fund has a normalized measure of one, and so, the total mass of agents in the economy equals $N + 2$. Dealers and uninformed clients have constant-absolute-risk-aversion (CARA) preferences with potentially different CARA coefficients. Hedge funds are risk neutral. None of the agents discount the future.

We think of the risky asset as a government bond subject to interest rate risk, which is issued shortly before trading at $t = 1$. Each dealer obtains $\varepsilon \in \mathbb{R}_+$ shares of the asset in the primary market. Hedge funds and uninformed clients do not participate in the primary market. Hence, once secondary-market trading starts at $t = 1$, each dealer has an endowment of ε shares, and hedge funds and uninformed clients 0. We assume that these endowments are public information and that there is no further issuance of the asset.

The payoff of the asset consists of two parts,

$$\theta = \bar{\theta} + \varepsilon, \quad (5.1)$$

Random variable $\bar{\theta}$ is characterized by a normal distribution with mean $\bar{\theta}$ and variance $\sigma_{\bar{\theta}}^2$. Random variable ε also follows a normal distribution with mean 0 and variance σ_{ε}^2 . These random variables, $\bar{\theta}$ and ε , are independent. All agents have homogeneous expectations about the asset payoff at $t = 1$. Just prior to trading at $t = 2$, hedge funds privately learn in advance the true realization, $\bar{\theta}$, of the first component of the asset payoff but other agents, dealers and uninformed clients, do not receive such a private information. However, dealers

6 Short summary

- Gilt yields drift up before scheduled macro news.
- The drift is stronger when issuance occurs just before news.
- Term premia drive most of the effect.
- Dealer constraints and inventory imbalances explain why issuance amplifies drift.
- Hedge funds step back before news, while passive clients provide more liquidity.
- The model rationalizes the facts through information asymmetry and price-impact avoidance.

7 Expanded conclusion

7.1 Core conclusion

Issuance and macro news interact. When gilts are issued before scheduled macro announcements, dealers and clients change their risk-bearing behavior, pushing yields upward before the announcement.

7.2 Economic intuition

Dealers must distribute issuance inventory. If news is imminent, holding inventory is riskier. Clients require compensation to absorb this inventory, so prices fall and yields rise.

7.3 Policy implication

Debt managers and central banks should recognize that issuance timing can affect yields and the information content of market rates before macro announcements.

7.4 Takeaway

Pre-news yield drift is a liquidity and risk-bearing phenomenon, not only an expectations phenomenon.